

Martin Vaeth

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Education

Princeton University

2019–2025

PhD Candidate in Economics

Committee: Roland Bénabou, Alessandro Lizzeri, Fedor Sandomirskiy

London School of Economics and Political Science

2018

M.Sc. in Economics and Philosophy

Heidelberg University

2017

B.Sc. in Mathematics

Fields

PRIMARY Microeconomic Theory

SECONDARY Behavioral Economics, Political Economy

Job Market Paper

“Rational Voter Learning, Issue Alignment, and Polarization”

Best Job Market Paper Award (European Economic Association and UniCredit Foundation)

We model electoral competition between two parties when voters can learn about their political positions through flexible information acquisition. Rational voter learning generates polarized and aligned political preferences, even when voters’ true positions are unimodally distributed and independent across policy issues. When parties strategically select their positions, voter and party polarization mutually reinforce each other, and both rise as information costs decline. Because voters learn exclusively about the axis of disagreement between parties, party positions respond to only one dimension of aggregate shocks to voter preferences. We adapt our model to a market setting with horizontally differentiated goods when consumers learn about their product preferences. A reduction in information cost not only increases product differentiation but also leads to higher markups, reducing consumer welfare. These results show how lower information costs can reduce welfare in both political and economic contexts.

Working Papers

1. “Attention and Regret”, Revise and Resubmit at *Journal of Political Economy*
2. “Imprecision Attenuates Updating”
3. “The Optimal Design of Public Recognition Schemes”

Work in Progress

1. “Self-Control through Emotions: Guilt and Pride”

Teaching

Princeton ECO 100: Introduction to Microeconomics (TA, 2022–2025)
ECO 500: Mathematics for Economists (TA, 2024)
Heidelberg Linear Algebra (TA, 2016)

Professional Activities

Presentations

2025 Berkeley, UCL, Paris School of Economics, Warwick, CERGE-EI, University of Copenhagen, BFI Rational Inattention Conference
until 2024 35th Stony Brook Conference, European Winter Meeting of the Econometric Society
2023, Bonn, Calgary/SFU/UBC Theory Workshop

Refereeing

American Economic Review, Econometrica, Journal of Mathematical Economics

Service

Co-organizer of the Princeton Political Economy Research Seminar (2023–2024)

Fellowships, Awards, and Grants

Stephen Goldfeld Summer Fellowship	2024
William S. Dietrich II Economic Theory Center Summer Grants	2021–2024
Global Priorities Fellowship, Forethought Foundation	2020
Hayek Prize for best performance in the MSc Economics and Philosophy at LSE	2018
Scholarship by the German Academic Scholarship Foundation (Studienstiftung)	2014–2018
German Academic Exchange Service (DAAD) Scholarship for Study in China	2014–2015

Languages

FLUENT German (native), English
BASIC French, Spanish, Chinese

Last updated: April 2025